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XPeng Inc. | Asia Pacific

MONA L03 – The global launch that funds itself

L03's aggressive China pricing should drive volume, while its simultaneous Europe launch lifts mix and margins. If supply ramps smoothly, we expect 15k+ monthly sales, with AI providing further upside. Stay OW.

The long-awaited L03 finally lands. In China, BEV is priced at Rmb123.8-156.8k while PHEV is priced at Rmb123.8-146.8k (available in August) vs. pre-sale pricing of Rmb143.8-165.8k. XPeng not only undercut its pre-sale pricing but also added up to Rmb43k of early-bird giveaways. Of note, L03 is simultaneously launched in Europe with BEV and EREV priced at €35.6 and 338.6k respectively (Rmb276-299k). We look for the monthly run-rate to top 15k if supply can ramp up smoothly.

The domestic launch defends share; the European launch pays. This is XPeng's first simultaneous China-Europe launch, rolling out across 65 countries rather than spreading expansion over 18 months in most peers' cases. As a result, overseas mix arrives alongside volume rather than lagging by a year. Looking only at China ASP and gross margin misses the point as a growing share of L03 units sold overseas at more than double the domestic price is margin accretive even as China pricing falls.

In Europe, for Europe: XPeng currently builds G6/G9 with Magna in Graz and plans to expand into sedans and compact/mid-size SUVs, and operates a Munich R&D centre with Bosch and BASF already in its supply chain and 150 dealers signed. XPeng's asset-light approach increasingly looks compelling amid local protectionism.

More than the car: VLA 2.0 comes to European next year. Robotaxi ambitions are also moving overseas; initial Guangzhou pilot programmes are underway while XPeng is engaging potential European partners. Of note, humanoids will arrive first in XPeng's own stores as shopping assistants and cashiers, then in European stores and malls in 2027. All three product lines sit on a shared physical AI foundation.

Our view: The near-term story is not only about volume but mix as Europe is carrying higher ASPs and margins. We look for a successful launch of L03, together with G9L/L05 later on, to anchor the core auto business while non-auto initiatives will drive valuation re-rating in 3Q. Stay OW.

Exhibit 1: MONA L03 vs. competitors

	MONA L03	Tesla Model Y	Xiaomi YU7	BYD Sealion 06	Onvo L60
Wheelbase (mm)	2,850	2,890	3,000	2,820	2,950
Power	EREV/BEV	BEV	BEV	PHEV/BEV	BEV
Type	SUV	SUV	SUV	SUV	SUV
Lidar (unit)	0	0	1	0-1	0-1
AD chip	0-2 Turing	AI 4	Thor	Orin N/Orin X	Orin X Shenji NX9031
Battery range (CLTC, km)	315-625	593-821	643-835	132-710	525-740
Price (Rmb k)	123.8-156.8	264-314	234-390	130-200	193-256

Source: Yiche, Morgan Stanley Research

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Asia Summer School 2026

XPeng Inc. (9868.HK, 9868 HK)

ADRXPEV.N

China Autos & Shared Mobility | China

Stock Rating	Overweight
Industry View	In-Line
Price target	HK\$96.00
Up/downside to price target (%)	70
Shr price, close (Jul 16, 2026)	HK\$56.55
52-Week Range	HK\$110.80-45.32
Sh out, dil, curr (mn)	1,904
Mkt cap, curr (mn)	Rmb92,955.8
EV, curr (mn)	Rmb61,556.5
Avg daily trading value (mn)	HK\$1,322

Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
EPS (Rmb)**	(0.60)	(1.89)	(0.50)	0.10
EPS (Rmb)\$	(0.89)	(0.62)	1.01	2.38
Revenue, net (Rmb mn)	76,720	83,126	103,254	116,316
EBITDA (Rmb mn)	216.5	1,168.8	1,849.8	3,196.6
ModelWare net inc (Rmb mn)	(1,139)	(3,600)	(950)	194
P/E	NM	NM	NM	479.1
P/BV	4.5	3.5	3.6	3.6
RNOA (%)	(78.9)	342.5	278.4	16.5
ROE (%)	(3.6)	(11.9)	(3.5)	0.8
EV/EBITDA	482.0	NM	34.1	16.9
FCF yld ratio (%)**	1.4	(4.4)	2.9	9.7
Leverage (EOP) (%)	(27.1)	(15.5)	(26.3)	(60.9)

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework

\$ = Consensus data is provided by Refinitiv Estimates

** = Based on consensus methodology

e = Morgan Stanley Research estimates

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Valuation Methodology and Risks

XPeng Inc. (9868.HK)

Derived from our ADR price target using 7.85 HKD/USD. We assign 30%/50%/20% weightings to our bull/base/bear case scenarios - the bull/bear weighting reflects the potential for valuation re-rating from non-vehicle business/the macro outlook to weaken and sector competition to worsen.

Key base case assumptions: 3% terminal growth rate, 1.6x beta, 12.8% WACC.

Risks to Upside

- More competitive model introductions that drive volume growth
- Greater-than-expected margin expansion
- Better-than-expected branding with superior in-car user experience

Risks to Downside

- Intensified competition in the mid-/high-end segments
- Cash flow pressure with lower profitability
- Moderating auto sales growth pressuring overall industry valuation

XPeng Inc. (XPEV.N)

Probability-weighted DCF methodology. Weightings for our bull (SoTP)/base/bear case scenarios are 30%/50%/20% - the bull/bear weighting reflects the potential for valuation re-rating from non-vehicle business/the macro outlook to weaken and sector competition to worsen.

Key base case assumptions: 3% terminal growth rate, 1.6x beta, 12.8% WACC.

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(as of June 30, 2026)

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	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1544	42%	453	49%	29%	757	44%
Equal-weight/Hold	1577	43%	390	42%	25%	769	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	544	15%	89	10%	16%	204	12%
Total	3,668		933			1731	

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Industry : China Autos & Shared Mobility



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INDUSTRY COVERAGE: China Autos & Shared Mobility

COMPANY (TICKER)	RATING (AS OF)	PRICE* (07/16/2026)
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Joey Xu, CFA

Anhui Jianghuai Automobile (600418.SS)	E (08/19/2023)	Rmb22.97
BAIC Motor (1958.HK)	E (10/02/2025)	HK\$0.83
Brilliance China Automotive (1114.HK)	E (03/31/2025)	HK\$2.04
Chongqing Changan Automobile (000625.SZ)	E (03/03/2026)	Rmb7.19
Guangzhou Automobile Group (601238.SS)	U (10/23/2019)	Rmb5.16
Guangzhou Automobile Group (2238.HK)	O (05/05/2020)	HK\$2.21
Huayu Automotive (600741.SS)	O (09/08/2020)	Rmb16.78
Jiangsu Changshu Automotive Trim Group (603035.SS)	E (08/14/2023)	Rmb10.95
Ningbo Huaxiang Electronic Co., Ltd. (002048.SZ)	E (05/05/2026)	Rmb21.15
SAIC Motor Corp. Ltd. (600104.SS)	O (11/25/2021)	Rmb10.52
Voyah Automotive Technology Co. Ltd. (7489.HK)	O (03/31/2026)	HK\$3.12
Zhengzhou Yutong Bus Co (600066.SS)	E (09/22/2023)	Rmb30.08

Shelley Wang, CFA

Beijing Jingwei Hirain Technologies (688326.SS)	U (09/27/2024)	Rmb67.72
Bethel Automotive Safety Systems Co Ltd (603596.SS)	O (12/11/2023)	Rmb23.76
Changzhou Xingyu Automotive Lighting Sys (601799.SS)	O (09/27/2024)	Rmb90.55
China MeiDong Auto Holdings Ltd (1268.HK)	U (07/10/2026)	HK\$0.52
China Yongda Automobiles Services (3669.HK)	U (07/10/2026)	HK\$1.00
Foryou Corporation (002906.SZ)	O (03/06/2024)	Rmb24.16
Fuyao Glass Industry Group (600660.SS)	E (12/01/2016)	Rmb53.00
Fuyao Glass Industry Group (3606.HK)	E (12/01/2016)	HK\$54.40
Huizhou Desay SV Automotive Co Ltd (002920.SZ)	O (02/28/2025)	Rmb85.93
Keboda (603786.SS)	O (01/17/2024)	Rmb41.27
Minth Group Limited (0425.HK)	O (08/24/2015)	HK\$27.94
NavInfo Co Ltd (002405.SZ)	U (03/06/2024)	Rmb6.23
Nexteer Automotive Group (1316.HK)	E (02/28/2025)	HK\$4.03
Ningbo Joyson Electronic Corp (600699.SS)	E (03/11/2026)	Rmb20.95
Ningbo Tuopu Group Co Ltd (601689.SS)	E (11/12/2025)	Rmb54.47
Ningbo Xusheng Group Co Ltd (603305.SS)	E (06/18/2025)	Rmb11.21
Suzhou Recodeal Interconnect System (688800.SS)	O (07/02/2026)	Rmb67.80
TUHU Car Inc (9690.HK)	O (07/29/2024)	HK\$13.71
Zhejiang Sanhua Intelligent Controls (002050.SZ)	E (11/12/2025)	Rmb41.83
Zhongsheng Group Holdings (0881.HK)	E (07/10/2026)	HK\$4.63

Tim Hsiao

BAIC BluePark New Energy (600733.SS)	U (08/07/2024)	Rmb4.79
BYD Company Limited (002594.SZ)	O (04/14/2025)	Rmb94.14
BYD Company Limited (1211.HK)	O (04/14/2025)	HK\$90.95
EHang Holdings Ltd (EH.O)	O (03/13/2025)	US\$5.47
Geely Automobile Holdings (0175.HK)	O (06/26/2024)	HK\$19.39
Great Wall Motor Company Limited (601633.SS)	U (03/16/2022)	Rmb15.89
Great Wall Motor Company Limited (2333.HK)	E (01/08/2024)	HK\$8.81
Hesai Group (HSAI.O)	O (07/28/2025)	US\$15.85
Horizon Robotics (9660.HK)	O (12/02/2024)	HK\$4.61
Li Auto Inc. (LI.O)	O (08/24/2020)	US\$12.73
Li Auto Inc. (2015.HK)	O (11/16/2021)	HK\$50.40
NIO Inc. (9866.HK)	O (10/03/2022)	HK\$40.44
NIO Inc. (NIO.N)	O (08/26/2020)	US\$5.03
WeRide Inc (WRD.O)	O (11/19/2024)	US\$6.18
XPeng Inc. (9868.HK)	O (11/16/2021)	HK\$56.55
XPeng Inc. (XPEV.N)	O (01/29/2021)	US\$13.78

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* Historical prices are not split adjusted.

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